

**STATE OF CALIFORNIA
FRAUD ASSESSMENT COMMISSION**

**Summary Meeting Minutes
Sacramento, California
June 25, 2025**

This meeting was a hybrid meeting with the option for the public to attend in person or via teleconference. Commissioners personally in attendance: Chairperson Jay Bobrowsky, Vice-Chairperson Branden Lopez, and Commissioners Dan Calamuci, Joseph Carresi, Tim Cloney and Tyrone Spears.

Others present: Eric Charlick, Deputy Commissioner (DC), California Department of Insurance (CDI) Enforcement Branch; Victoria Martinez, Felicia Lieb, and Shawn Conner, Deputy Chiefs, CDI Fraud Division; Lance Ferrari, Captain, CDI Fraud Division.

Yvonne Hauscarriague, Senior Staff Counsel, CDI Government Law Bureau attended via teleconference.

I. Fraud Assessment Commission

Chairperson Bobrowsky opened the meeting at 10:32 am.

a. Opening Remarks

Commissioner Cloney thanked LAU for their work arranging the meeting 2 weeks ago.

Chairperson Bobrowsky advised Commissioner Wright is not here yet, but they have enough for a quorum. Chairperson Bobrowsky thanked LAU for their work. He also said that continuity is very important and San Diego is doing a great job at that. He said more importantly he wants to discuss the importance of outreach. He wanted to reiterate that Workers' Compensation Fraud is not a victimless crime. He thanked the DA offices for their hard work.

b. Approval of the Summary Meeting Minutes

Chairperson Bobrowsky asked the Commissioners to read the meeting minutes. He read the FAC bylaws regarding the majority of Commissioners needing to vote yes to approve any motion.

Motion

Vice-Chairperson Lopez made a motion to approve the meeting minutes. Commissioner Spears seconded.

Action

A roll call vote was taken and the Commissioners unanimously approved the summary meeting minutes.

c. Report on the FAC participation in the CDI's FY 25-26 Commissioner's Workers' Compensation Review Panel

Both Commissioners Cloney and Calamuci commented that reading the applications was a great learning experience and very insightful. They thanked the DA offices for all the hard work they put into their applications.

d. Public Comments

The floor was opened the for public comments. There were none.

II. Enforcement Branch Update

Deputy Commissioner Charlick thanked LAU for their hard work and thanked Robert Laughter for arranging the audio for this meeting while the CDI training room undergoes renovations.

a. Overview of Funding Process and Recommendations for FY 25-26

Per the California Code of Regulations, the Insurance Commissioner convenes a Review Panel to evaluate the applications. CDI Attorney Yvonne Hauscarriague was also present to ensure the integrity of the review process. The Commissioner's Review Panel convened in a hybrid meeting on June 11, 2025. Representatives from 31 of the 32 counties that submitted grant applications made presentations. On November 19, 2024, the Fraud Assessment Commission determined a funding level of \$89,985,405 of which \$53,105,967 was the District Attorney's share. On January 8, 2025, the FAC voted a one-year split amendment, resulting in \$48,875,973 to be available from Aggregate Assessment base funds to the District Attorneys for FY 2025-26. In addition to this amount, there is \$3,974,879 in county unexpended funds from FY 2023-24, for a total of \$52,850,852 to distribute in FY 2025-26, pending budget appropriation.

This year, the Department received 32 applications representing 41 counties. The total amount requested was \$60,004,253, which is \$7,153,401 more than the total available funding. Based on California Code of Regulation Section 2698.57 and 2698.58, Deputy Chief Martinez and DC Charlick met with the Commissioner's team, on June 23, 2025, to review the funding recommendations submitted by the Review Panel. There were four modifications to the Review Panel's recommendations. The adjustments were all made in the additional award amounts, not the base awards. The revised total funding amounts for these seven counties are as follows:

Alameda:	\$ 1,608,636	to	\$ 1,573,939
Kern:	\$ 695,899	to	\$ 673,452
Shasta:	\$ 186,942	to	\$ 212,025
Siskiyou:	\$ 146,333	to	\$ 178,394

DC Charlick presented a letter to the Commissioners from the California Department of Insurance (CDI) to FAC Chair Commissioner Bobrowsky outlining CDI's funding recommendations. LAU distributed copies of the letter to attendees in the room and set out additional copies. For those not in attendance in person, requests for copies of the letter and funding distribution can be emailed to LAU. Then LAU analyst, Jennifer Tran, read the letter including the total funding the CDI is recommending for every county.

DC Charlick asked the FAC Commissioners if they had any questions regarding the funding recommendations.

Commissioner Cloney asked if DC Charlick could provide the background on why the recommended funding from the panel was adjusted. DC Charlick advised for the increases to Shasta and Siskiyou, one of the five panelists was significantly lower than others. We wanted to go with the spirit of the other four so an average of four of the five was taken. Both counties still have decreases just not as much. As for the decreases, Alameda listed no successes, their investigations are trending down and their outreach was only 20. For that size of a county that is small. We are all happy to have Jill Nerone back of course. As for Kern, one of the five panelists was significantly higher so we went with average of four of the five. Kern still saw an 8.1% increase.

Chairperson Bobrowsky asked DC Charlick to elaborate on the importance of keeping small counties funded to a certain level. DC Charlick advised if their funding is too low, they will cease to exist. Additionally, it is very important to maintain that outreach they're providing in those areas.

b. Administrative Update

Former LAU manager, Diana Russell, has accepted a special assignment position to focus on the Grant Case Management System (GCMS) and other special projects. We are currently working on backfilling the LAU Manager position.

As you are aware, for DHC & LACPP, GCMS has replaced the Investigation Case Activity Report, formerly Attachment B, and the Program Reports, often referred to as the DAR 1 and DAR 2. Our plan is to roll out this system for WC and Auto for fiscal year 25-26 reporting. In fact, the first training on GCMS for Workers' Comp will be on July 1st.

In preparation for the FY 2026-27 grant cycle, the Department is currently reviewing its program's grant administrative procedures with the purpose of ensuring greater accountability, heightened transparency, and effective stewardship of public funds. Any necessary changes to the grant program process and requirements will be published in the Grant Management System and included in the grant workshops conducted next year.

As for CDI's staffing updates, since January 2025, our recruiting and hiring initiatives have resulted in 33 detective applicants entering the background investigation phase. Currently, 20 of these prospective detectives remain within the active hiring process, with an additional 2 who started background prior to January 2025 pending psych/med clearance. Overall, we have successfully hired 13 detectives since the beginning of the year, 9 have already started and 4 have start dates in July. We currently have 3 recruits at police academies. One is set to graduate this month, with the other 2 graduating next month. Looking ahead, 5 more recruits are expected to begin their academy training between June and October of this year.

Chairperson Bobrowsky asked about job postings. DC Charlick advised we are constantly recruiting. We are currently at approximately 30% vacancy rate, which is an issue for most law enforcement agencies. We have bolstered our Student Assistant program and are aiming for 2 per regional office. We have a former student assistant about to graduate academy and another current student assistant that will be graduating college this year and she has stated she intends to apply to CDI.

Vice-Chairperson Lopez asked if the FAC Commissioners can make a sub-committee to potentially propose new legislation. Diana Russell responded that per statute, the role of the FAC is to set the aggregate assessment, participate on the funding panel, and provide advice and consent on the recommended funding. Additionally, the FAC is governed by Bagley Keene, so any work on behalf of the FAC needs to be done in a public forum. Vice-Chairperson Lopez clarified that they can gather and discuss items as long as no official FAC business is discussed. CDI Senior Staff Counsel, Yvonne Hauscarriague, wanted to piggyback on what Diana stated. They can propose legislation as a private citizen, but they cannot do it on behalf of their position on this commission.

c. Public Comments

The floor was opened the for public comments.

Jill Nerone from Alameda expressed disappointment in being reduced by CDI. She said their program is coming back and next year will be a good year for them.

Chairperson Bobrowsky sympathized with their frustration and he is very happy she is back in Alameda.

No other public comments.

III. Advice and Consent from the FAC

Chairperson Bobrowsky read the procedure for whether or not the FAC agrees with the Insurance Commissioner's funding recommendations. He then summarized it. He mentioned in the history of the FAC, there has never been a situation where the Insurance Commissioner's recommendations were rejected.

Chairperson Bobrowsky asked the Commissioners if they had any comments or questions. Vice-Chairperson Lopez noted that last year he was the one who voted no on Alameda's funding. He thinks too much focus is put on a county's history and not enough on what the county could do in the next year.

Commissioner Calamuci echoed what Vice-Chairperson Lopez said about Alameda. He also wanted to say that he is happy to see the increases to Shasta and Siskiyou. He appreciates the hard work they do.

Commissioner Spears asked if Alameda and Kern were reduced just to be able to add funding to Shasta and Siskiyou? DC Charlick advised yes the money had to come from somewhere, but in Alameda's case their performance has not been great over the past few years and while we expect good things in the future, we can't base funding decisions on promises, and in Kern's case it was due to one of the five panelists being an outlier. Commissioner Spears asked if DC Charlick believes if the county was given the proper funding their performance could improve instead of penalizing them? DC Charlick agreed and advised they are getting over \$1.5 million. Also it wasn't a situation of one bad year, this was a continuing trend for the past 3 years. If Alameda's performance rebounds next year we are confident their funding will increase at that time.

Chairperson Bobrowsky wanted to remind the Commissioners that it's important to look at prior performance and a decision needs to be made based on their current performance.

Commissioner Calamuci commented that there was no increase in the aggregate assessment and the amount requested exceeded the available funds.

Commissioner Cloney said the problem was the outlier on the panel skewed the average of the 5 Panelists. Siskiyou and Shasta's numbers are down, so we are not wanting to reward them for that, but there needs to be enough funding for them to stay in the program.

Vice-Chairperson Lopez asked if CDI is restricted to only look at the past? DC Charlick advised we also look at their plan going forward, but when their statistics continue to decline that is an issue. Vice-Chairperson Lopez said that he also thinks Alameda received too little funding last year and he agrees with Commissioner Spears that funding is needed to rebuild a program. DC Charlick mentioned that it was San Mateo last year that Vice-Chairperson Lopez disagreed with, not Alameda.

Diana Russell said that the regulations state we are to look at the county plan and the materials in application. Chairperson Bobrowsky said he doesn't think it is an issue with CDI and that the process is sound. Chairperson Bobrowsky said while he didn't serve on the panel, he did read the applications and generated his own funding numbers and his came out similar to the amount CDI is recommending.

Chairperson Bobrowsky explained that if the funding recommendations don't pass, we would need to have another meeting.

Motion

Commissioner Calamuci made a motion to accept the Department of Insurance's funding recommendations. Commissioner Spears seconded the motion.

Action

A roll call vote was taken.. Motion passed unanimously.

IV. CDAA Presentation

DDA Scott Collins of Los Angeles County made a PowerPoint presentation to educate the Commissioners on the prosecution of Premium Fraud Cases. The presentation discussed types of premium, applicable codes and statutes, materiality, burden of proof, statute of limitations, the basic steps of building a premium fraud case, and restitution.

a. Public Comments

The floor was opened the for public comments and there were none.

V. Other Business

a. Next Scheduled Meetings

Chairperson Bobrowsky advised the next scheduled FAC meetings will be November 12, 2025 and November 19, 2025.

b. Public Comments

The floor was opened the for public comments on the topic just discussed. There were none.

VI. Public Comments

The floor was opened the for public comments on any topic discussed today.

There were none.

VII. Closing Remarks

Commissioner Calamuci said he appreciated the CDAA presentation and stated he would like a presentation on provider fraud too.

Commissioner Carresi also thanked DDA Collins and CDAA for the presentation. He also thanked Orange, San Bernardino, and Los Angeles Counties for the presentation they gave at a conference recently.

Chairperson Bobrowsky mentioned again that outreach is very important. He also stated he'd like to see counties utilize data analytics as it can be very useful.

Motion

Commissioner Carresi made a motion to adjourn the meeting and Vice-Chairperson Lopez seconded the motion.

Action

A roll call vote was taken and the Commissioners unanimously approved the motion to adjourn the meeting

The meeting adjourned at 12:37 p.m.